Growing Capital Sustainably



July 2023

Quarterly Insights 10

AXS

Inside This Issue

Macroeconomic Outlook - Global **1-4**

Macroeconomic Outlook - Kenya **5-9**

Macroeconomic Outlook - Mauritius **10-15**

Market Insight **16-17**

Portfolio Performance **18-19**

Trade Ideas **20-21**

AXIOM Funds **22-23**

- AXIOM Patrimoine **24**
- AXIOM Africa Equity Fund **25-26**
- AXIOM Yield Fund **27**
- Dynamic Global Equity **38**
- AXIOM Equity Fund **29**

Product Factsheets

- Invesco DB Agriculture Fund **30-32**
- MSCI China ETF **33-34**

Macroeconomic Outlook

Global



Macroeconomic Outlook



Financial markets featured divergent trends over Q2 23 as equity markets and fixed income markets moved in different directions. The MSCI All Country World Index rose by 6.2% while the Bloomberg Global Aggregate Bond Index fell by 1.5%, both measured in US Dollar terms.

Equity indices continued their recovery in the wake of a dismal performance in 2022 as traders focused their attention on disinflationary trends in headline inflation numbers. Indeed, in the United States, headline inflation fell from 5.0% in March 23 to 3.0% in June 23. This was the lowest print since March 21. Sentiment was also buoyed by the hype surrounding AI technology and this led to a frenetic rally in many tech stocks, particularly NVIDIA, the processor manufacturing company (up 52.3% over Q2 23).

On the other hand, bond traders were more attentive to the renewed hawkishness from central bankers as they reiterated the need for further tightening of monetary policy. In addition, the observed stickiness of core inflation numbers convinced bond markets that the fight against inflation was not yet over. The US 2YR yield rose by 87bps over the last three months to close at 4.9% while the key US 2YR - 10YR spread inversed further to -106bps. The spread was back to levels seen just before the collapse of Silicon Valley Bank in March 23.

The US Federal Reserve hiked the interest rate by an additional 25bps over the quarter to 5.25%. Central banks across the Atlantic were more bullish though as inflation prints remain persistently elevated in this region. In the Eurozone, the European Central Bank increased the key rate by 50bps to 4.00% while the Bank of England surprised most economists by hiking by 75bps to 5.00%. Most Emerging Market central banks left rates unchanged while Chinese monetary authorities lowered the lending rate by 10bps to 2.65%. This, once again, highlights the fact that China is at a different place in its economic cycle than most other countries.

From a currency perspective, Q2 23 was another mixed quarter with currencies maintaining their recent trends. The Brazilian Real outperformed once more as the Real appreciated by 5.5% versus the US Dollar – the currency continues to benefit from its high positive yield differentials and the credibility of its central bank in its fight against inflation. The Pound Sterling was performed strongly on account of the unexpected hawkishness of the Bank of England. As a matter of fact, the yield on the 2YR gilt is now the highest among developed nations and this state of affairs in luring hot money flows into the UK economy. The Japanese Yen was a major underperformer as market expectations for a normalisation of Japanese monetary policy did not materialise under new Governor Ueda. In Turkey, the appointment of a new more orthodox central banker did little to quell the negativity around the Turkish Lira. The currency depreciated by more than 35% versus the US Dollar.

Commodities have come under pressure ever since they peaked in the aftermath of the Russian invasion of Ukraine. So far in 2023, they remain under pressure as the global economy weakens further. The Bloomberg Commodity Index fell by 2.6% over Q2 23 and is now down 7.8% on a year-to-date basis. The fall in commodity prices has been driven mainly by weakness in industrial metals and oil prices. Gold prices, which had a strong start to 2023, have moderated somewhat over Q2 23 (-2.5%) but remains above USD 1,900 per ounce and within touching distance of its all-time high. Prices for agricultural goods have been the most resilient and are only marginally lower this year (-1.0%).

Macroeconomic Outlook

Global

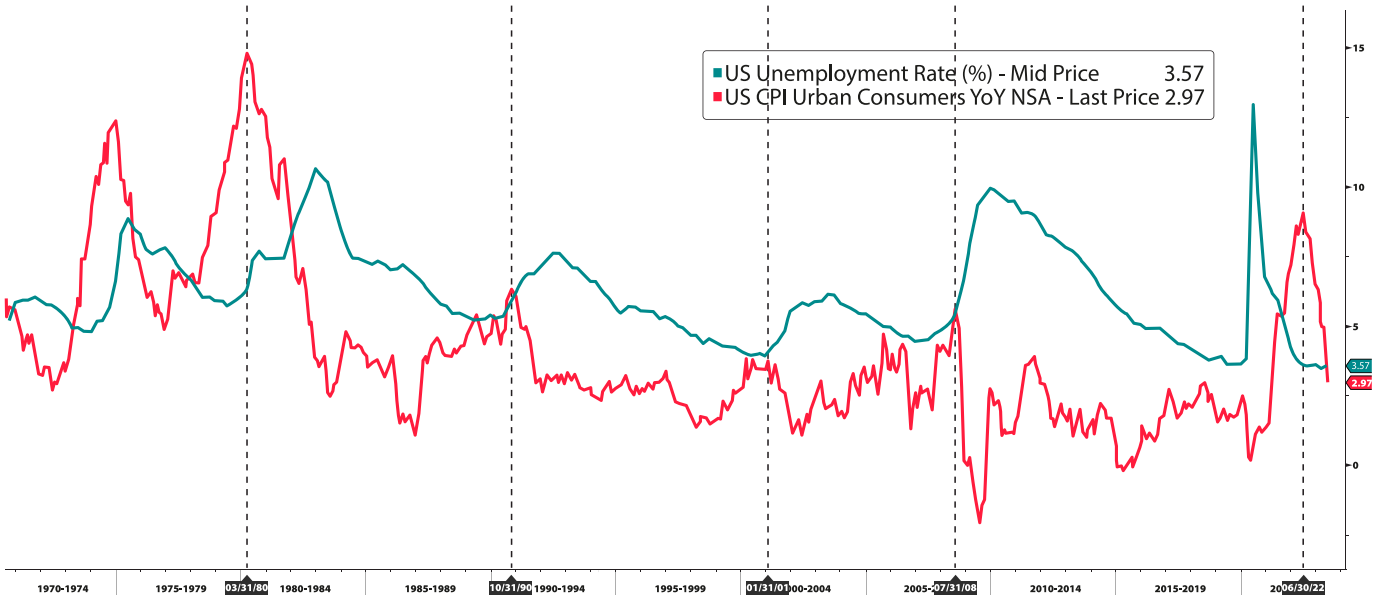


Chart 1 – Peak in inflation typically coincides with weakening labour market in the United States

Source: Bloomberg

The divergence witnessed between equity and fixed income markets over Q2 23 is most likely unsustainable. At some point in the coming months, one of these two markets will eventually be proven right and the other one wrong. The dynamics driven by the pandemic and the war in Ukraine have been disruptive forces from an economic standpoint in that they have impacted the economic cycle in ways in which economists and forecasters are not necessarily accustomed to. While economic data suggest that the global economy is nearing the end of an economic cycle, the timing of same is more uncertain than in normal economic cycles. Inflation typically peaks at the end of an economic cycle, and this usually precedes some sort of economic slowdown. The peak in inflation also generally coincides with an increase in unemployment. So far, in the current cycle, employment patterns remain quite strong, and this is one of the main reasons why central banks are hesitant to change their rhetoric towards a more accommodative one. They are of the view that as long as the labour market remains strong, the likelihood of inflation falling back to targeted levels will remain low. We should therefore expect central banks to remain committed to restrictive monetary policy for the foreseeable future, even though the pace of tightening will surely slow. A peak in interest rates is very likely to be reached in 2023 for most central banks.

Our cautious approach to investing has underperformed our benchmarks in recent months, especially on the equity side of things. Our investment philosophy has indeed been more aligned with the bond market so far in 2023. Given our fundamental top-down approach, we aim to maintain our view that the global economy will need to weaken further before getting stronger and as such, are confident that our current investment strategies will benefit the portfolio over the medium term. The investment team expects emerging equity markets, and especially China, to produce above average returns in the medium term. We are also constructive on Brazilian fixed income opportunities as well as agricultural commodities as El-Nino looms. Fixed income markets also present an attractive window of opportunity as does gold. Given the level of uncertainty, we prefer to hold diversified sources of return rather than making concentrated bets. Once the economic outlook clarifies, we should be in a better position to take advantage of new longer-term cyclical trends.

Asset Class Performance

Equities (in local currency)	Value	Q2'23	6 Months	12 Months
MSCI ALL COUNTRY WORLD INDEX	362	6.18%	13.93%	16.53%
S&P 500	9,560	8.74%	7.50%	19.59%
NASDAQ	18,108	15.39%	20.77%	33.13%
DOW JONES INDUSTRIAL AVERAGE	83,663	3.97%	0.93%	14.23%
EUROSTOXX 50	1,100	0.25%	7.45%	10.79%
FTSE 100	7,532	-0.42%	3.55%	8.92%
DAX	16,148	3.32%	12.25%	26.32%
CAC 40	22,306	3.54%	13.39%	28.91%
SHANGHAI COMP	3,406	-1.10%	5.94%	-3.15%
JSE AFRICA ALSI	13,131	0.66%	5.17%	19.58%
SEMDEX	1,967	2.79%	-4.09%	-3.16%

Currencies*	Rate	Q2'23	6 Months	12 Months
EUR vs USD	1.09	0.65%	1.91%	4.05%
GBP vs USD	1.27	2.97%	5.13%	4.31%
JPY vs USD	144	-7.93%	-9.14%	-5.93%
AUD vs USD	0.67	-0.31%	-2.19%	-3.46%
BRL vs USD	4.79	5.77%	10.41%	9.83%
ZAR vs USD	18.8	-5.57%	-9.60%	-13.61%
CNY vs USD	7.25	-5.24%	-4.91%	-7.64%
MUR vs USD	45.5	0.63%	-2.70%	-0.11%
MUR vs EUR	49.5	0.73%	-4.40%	-4.12%
MUR vs GBP	57.7	-1.75%	-7.29%	-4.38%
MUR vs ZAR	2.41	6.38%	7.90%	13.35%

*A+1.00% change in A vs B means an appreciation of 1.00% of currency A versus currency B

Fixed Income	2Y (%)	Q2'23	10Y (%)	Q2'23
United States	4.90	0.87	3.84	0.37
Germany	3.20	0.51	2.39	0.10
United Kingdom	5.27	1.83	4.39	0.90
Italy	3.90	0.72	4.07	-0.03
France	3.38	0.57	2.93	0.14
Australia	4.22	1.26	4.02	0.73
China	2.12	-0.25	2.64	-0.22
South Africa	7.88	0.11	11.76	0.70
India	7.02	-0.03	7.12	-0.19
Mauritius	4.85	0.15	5.50	-0.35

Commodities (in US Dollars)	Value	Q2'23	6 Months	12 Months
Commodity Index	101.5	-3.82%	-10.04%	-13.30%
Crude Oil WTI	74.9	-6.11%	-12.82%	-34.76%
Brent Oil	70.6	-6.65%	-11.99%	-33.21%
Gold (ounce)	1919	-2.54%	5.23%	6.20%
Silver	22.8	-5.50%	-4.93%	12.31%
Palladium	906	-8.93%	-15.64%	1.07%
Copper	374	-8.63%	-1.82%	0.71%
Iron Ore	886	-7.57%	3.33%	0.91%
Wheat	636	-8.09%	-19.67%	-26.76%
Sugar	22.9	2.88%	14.22%	21.56%

Macroeconomic Outlook

Kenya



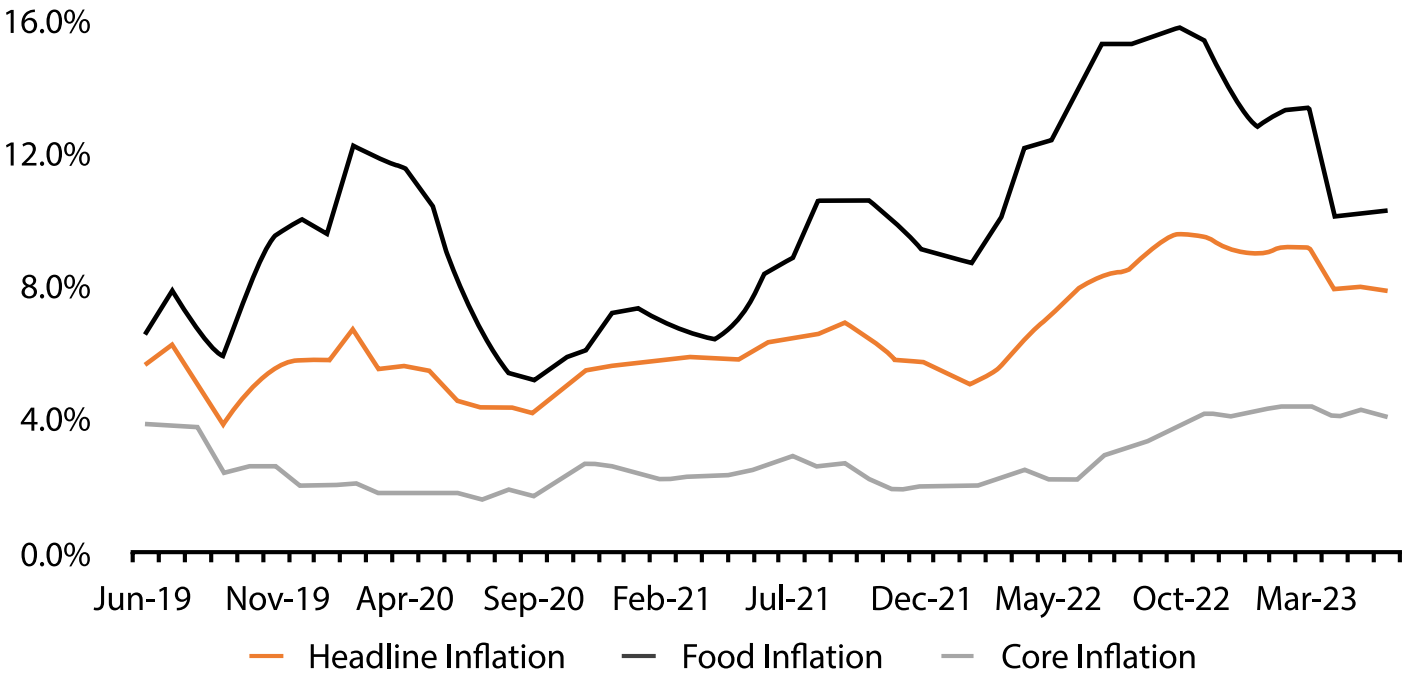
Macroeconomic Outlook

Kenya

Inflation To Remain Elevated

Headline inflation in Q2'23 averaged 7.93% compared to 7.16% over a similar period in 2022. The May inflation print increased to 8.00% from 7.90% in April and decreased to 7.90% in June. The non-food-non-fuel inflation (core inflation) also decreased to 4.10% from 4.40% in March 2023. We expect higher rainfall and the government lead agricultural sector inputs subsidy to increase food production. We expect the increase in VAT on petroleum products to 16.00% from 8.00% to increase pressure on headline inflation with the significant increase of fuel prices. The heightened inflationary pressure saw the Monetary Policy Committee hike the Central Bank Rate by 100bps to 10.50% during the recent meeting held in June as a preemptive measure to curb inflation. We remain concerned with the continued increase in inflation and expect it to remain above the CBK's upper target of 7.50% in Q3'23 but gradually decrease back to the CBK target range thereafter.

Kenya's 3-Year Historical Inflation Print



Macroeconomic Outlook



Business Environment Remains Challenged

Following a decline in business condition in Q1'23, we observed a further decline in business activity as recorded by the Purchasing Managers Index that averaged 48.10 in Q2'23 from 49.30 in Q1'23. We expect the PMI to remain below the 50-point threshold in the short-term on the back of high input costs and depreciation of the shilling, but gradually improve in the long-term. Near-term concerns are driven by elevated inflationary pressures, higher input costs and the continued depreciation of the shillings which is has increased import costs.

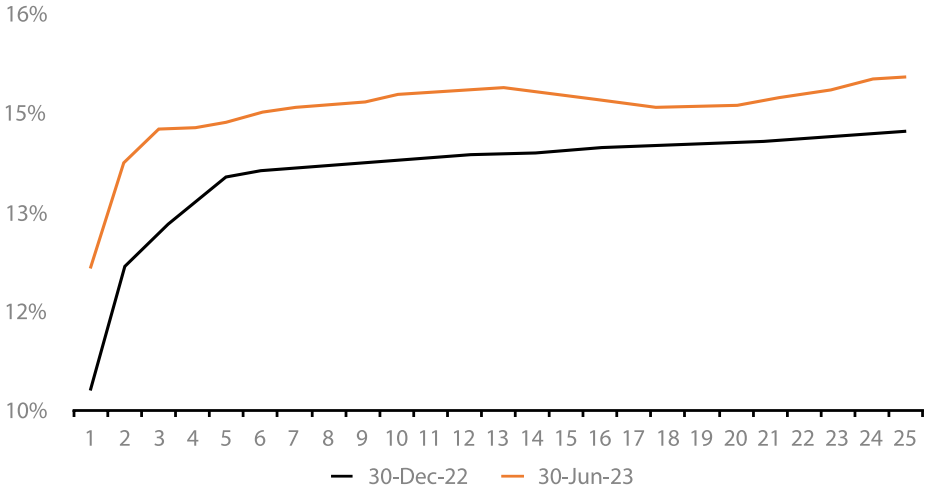
The yield on government securities steepened during the period as investors sought higher yields in response to economic uncertainty on the local and global scale. Notably, we observed an increase in Treasury bond subscriptions as investors increased their preference for higher risk-adjusted returns on short-term papers. We observed an increase in Treasury bills subscription on the 91-day paper which has been a preference for investors looking to hedge against duration and interest rate risks. We also observed a decline in Treasury bill subscriptions on the 182-day paper and the 364-paper as investors preferred the higher yielding short, dated bond papers. We expect the yield curve to experience upward pressure across medium and long-term tenors, with a slight easing in the short-term, as investors seek higher premiums on prevailing high inflation and government debt sustainability concerns.

Local Currency to Continue Struggling

The shilling further depreciated by 6.19% against the US Dollar in Q2'2023 to close at KES 140.52 from KES 132.33 at the end of Q1'2023. This is attributable to the strengthening of the dollar against emerging market currencies, the rise in global commodity prices leading to higher demand for dollars and the reduction of dollar receipts from agricultural produce and diaspora remittance. Foreign exchange reserves dipped in Q2'23 averaging USD 6,7655 equivalent to 3.75 months of import cover which is below CBK's statutory requirement of at least 4 months of import cover. This is on the back of increased dollar outflows in debt servicing and energy importers.

We anticipate that the shilling will continue the losing streak against the dollar having lost 9.04% in 2022. The dollars continued strengthening against frontier currencies coupled with foreign denominated debt repayments will further weaken the forex reserves. Additionally, dividend repatriation in Q3'23 in the equities market will further increase demand for the dollar. The inflow of dollar investments through FDI's, NSE Market and other capital inflows will be a key source of dollar supply helping KES sustain resistance.

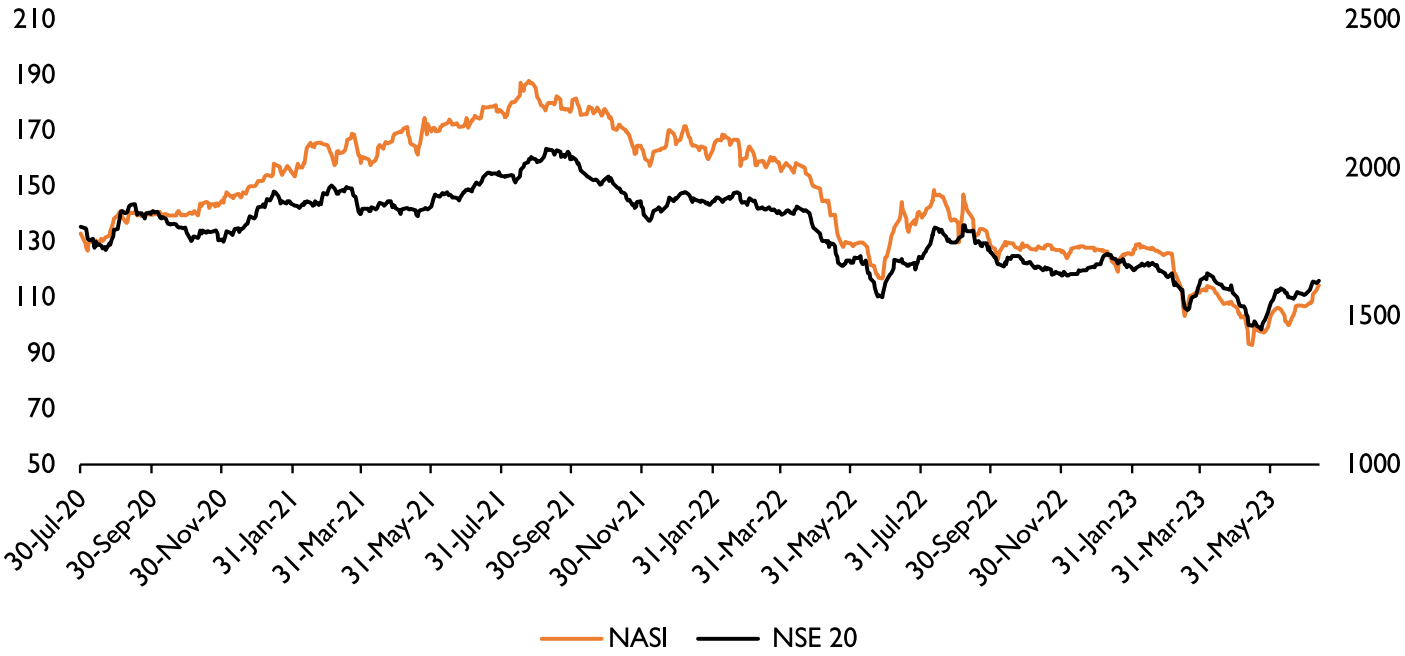
NSE IMPLIED YIELD CURVE



Macroeconomic Outlook

Kenya

NSE INDICES PERFORMANCE



Equities

Activity in the equities market in Q2'2023 worsened with the equity turnover decreasing by 34.75% to KES 14.39Bn from KES 22.05Bn in the preceding quarter. Benchmark indices recorded losses with the NASI and NSE-20 declining 5.11% and 2.91% to close at KES107.00 and KES 1,574.92 respectively. The bourse's market capitalization declined by 5.11%.

We expect further foreign investor selloffs in Q3'2023, albeit at a slower rate, driven by continued negative investor sentiment on emerging and frontier markets as well as a negative local currency outlook. The indication of further hikes of benchmark rates in developed markets will continue making foreign markets more attractive and this likely to drive further foreign exits.

During the Quarter, listed commercial banks released their Q1'23 financial results signaling a strong performance in the sector. Most of the lenders recorded a significant increase in Non-Funded Income in comparison to Net Interest Income mainly because of increased income from forex trading and fees and commissions on lending. The continued dollar shortage on the interbank forex market created arbitrage for the lenders as seen by the significant growth in forex trading income. We expect the implementation of risk-based lending model by the lenders will be key in driving loan book growth going forward.

Quarterly Kenyan Equity Performance

Equities (in local currency)	Value	Market Cap.(Mn)	Q2'23	6 Months	12 Months
ABSA Group	12.80	69,524	-7.8%	-4.1%	12.9%
Bamburi Cement	28.05	10,181	-10.2%	-20.0%	-27.1%
British American Tobacco	463.75	46,375	-6.7%	-5.9%	6.1%
Bank of Kigali	31.80	28,517	16.0%	17.1%	25.3%
Britam Holdings	4.65	11,734	8.0%	-3.5%	-10.4%
Carbacid Investments	12.60	3,211	9.9%	15.4%	20.4%
CIC Insurance Group	1.96	5,126	-3.1%	-2.6%	-9.5%
Co-operative Bank	13.15	77,153	-7.2%	-0.8%	11.9%
Crown Paints	38.90	5,538	12.7%	4.8%	5.7%
Centum Investment	8.96	5,962	0.4%	7.7%	-8.0%
Diamond Trust Bank	51.25	14,330	-2.7%	-0.3%	-0.2%
East African Breweries	170.00	134,432	-8.8%	-7.5%	12.9%
Equity Group	45.50	171,702	-15.9%	-14.0%	-11.0%
STANLIB FAHARI I-REIT	6.52	1,180	-7.4%	-7.4%	0.7%
HF Group	3.81	1,465	31.8%	57.4%	55.4%
I&M Holdings	20.85	34,478	-18.0%	0.6%	0.6%
Jubilee Holdings	177.00	12,828	1.7%	-9.4%	-30.6%
KCB Group	35.50	114,078	-17.5%	-23.1%	-24.2%
KenGen	2.20	14,508	5.0%	-28.3%	-31.7%
Kenya Re Insurance	1.89	5,292	-4.8%	-1.6%	-9.5%
Kenya Power	1.54	3,005	2.6%	1.3%	10.5%
Kakuzi	264.00	5,174	44.9%	-0.6%	-13.3%
Liberty Holdings	4.81	2,577	-15.8%	-27.7%	-25.0%
Longhorn Publishers	2.61	711	-6.1%	-18.3%	-12.5%
Nairobi Business Ventures	3.68	4,982	-9.5%	-11.7%	-7.5%
NCBA Group	36.70	60,464	5.9%	-1.3%	64.6%
Nation Media Group	15.85	3,016	20.2%	19.4%	11.7%
Nairobi Securities Exchange	6.24	1,619	-4.2%	-11.8%	-16.0%
Sasini	25.75	5,872	16.5%	33.6%	57.9%
Stanbic Holdings	110.00	43,485	1.1%	9.1%	12.7%
WPP Scangroup	2.88	1,245	0.3%	-4.0%	-6.2%
Standard Chartered Bank	170.00	64,236	-5.6%	12.4%	28.7%
Safaricom	18.10	725,184	-3.3%	-27.5%	-29.9%
Standard Group	8.52	696	7.5%	-12.3%	-28.2%
Sanlam	8.22	1,184	-11.2%	-23.8%	-39.2%
Total Kenya	21.50	3,764	-10.9%	-19.7%	-18.3%
TPS Eastern Africa	13.95	2,541	-16.5%	-12.7%	-15.6%
Umeme	11.65	18,918	13.3%	77.9%	91.9%
Unga Group	18.60	1,408	-17.7%	-52.2%	-49.7%

Macroeconomic Outlook

Mauritius



Macroeconomic Outlook

Mauritius

Gross Domestic Product

GDP at market prices grew by 5.5% YoY in Q1 2023 with "Accommodation and Food Services" activities being the major contributor (+60.2% YoY). Mauritius was still subject to travel restrictions compared to the corresponding last period.

According to Statistics Mauritius, based on forecasted tourist arrivals and other measures announced in the budget speech, Mauritius GDP is now expected to grow by 5.3% in 2023, instead of 5% as previously forecasted.

GVA would instead grow by 5.2% with "Accommodation and Food Services" being the major contributor (+1.7% contribution) followed by "Financial and insurance activities" and "Construction" each contributing +0.5%. The forecast is based on expected tourist arrivals of 1.3M and after a series of public sector construction projects announced in the 2023/24 budget.



Outlook

The 1.3M target tourism arrivals target looks achievable, as monthly tourist arrivals are now at par with pre-covid levels. This has also been accompanied by higher tourism spending in Rupee (due to depreciation of Rupee and inflation). We, therefore, remain in line with the expected growth of 5.3%.

Date	Arrivals	Date	Arrivals	% of 2019
Jan-19	122,273	Jan-23	107,684	88.1%
Feb-19	115,613	Feb-23	91,850	79.4%
Mar-19	114,419	Mar-23	105,663	92.3%
Apr-19	108,565	Apr-23	109,031	100.4%
May-19	96,814	May-23	100,030	103.3%
Jun-19[1]	92,398	Jun-23	82,208	89.0%

[1] June 2019 was an exception as there is usually a drop from May to June in tourist arrivals. Such a decline stood at -16.6% in June 2018 and stands at -17.8% in June 2023.

Macroeconomic Outlook

Mauritius

Inflation

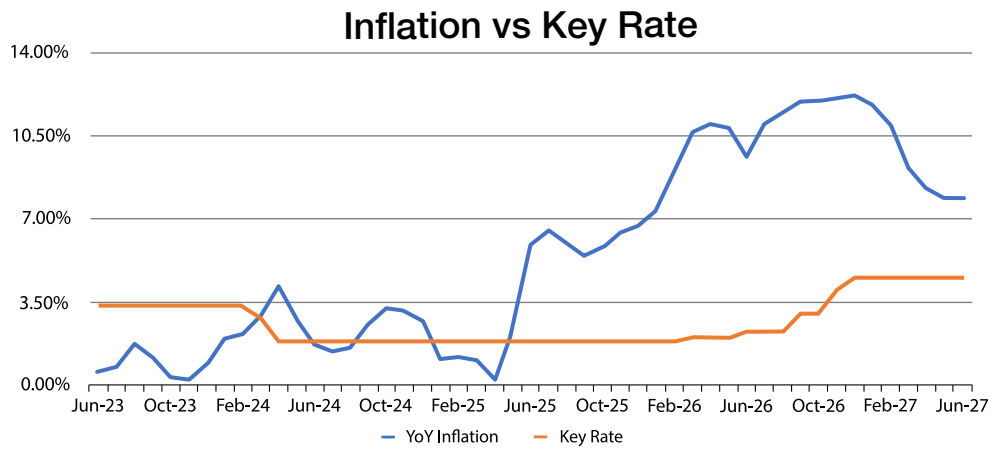
YoY Headline inflation stood at 7.9% in June 2023 compared to 9.6% in June 2022. On the other hand, CORE1 and CORE2 inflation subsided down to 3.6% and 5% respectively.

'Food and Non-Alcoholic Beverages' was the main contributor (3.3%), following rise in commodity prices. The 'Housing, water, electricity, gas and other fuels' and 'Alcoholic beverages and tobacco' divisions were other major contributors after the hike interest rates induced higher debt servicing costs and the 10% excise taxes on Alcohol & Cigarettes imposed in the budgetary speech 2023/24, respectively.

Division	YoY June	Contribution
Food and non-alcoholic beverages	13.2%	3.3%
Housing, water, electricity, gas and other fuels	15.8%	1.8%
Alcoholic beverages and tobacco	11.7%	1.3%
Restaurants and hotels	11.4%	0.6%
Furnishings, household equipment and routine		
household maintenance	6.2%	0.4%
Miscellaneous goods and services	5.5%	0.3%
Health	6.6%	0.3%
Clothing and footwear	4.8%	0.2%
Education	2.4%	0.1%
Recreation and culture	2.5%	0.1%
Communication	0.1%	0.0%
Transport	-1.5%	-0.2%
YoY Headline Inflation	7.9%	7.9%

Monetary Policy

The Monetary Policy Committee (MPC) of the Bank of Mauritius met on 15th of June 2023 and unanimously voted to keep the key rate unchanged at 4.5% despite rampant inflation, after five consecutive hikes in 2022.

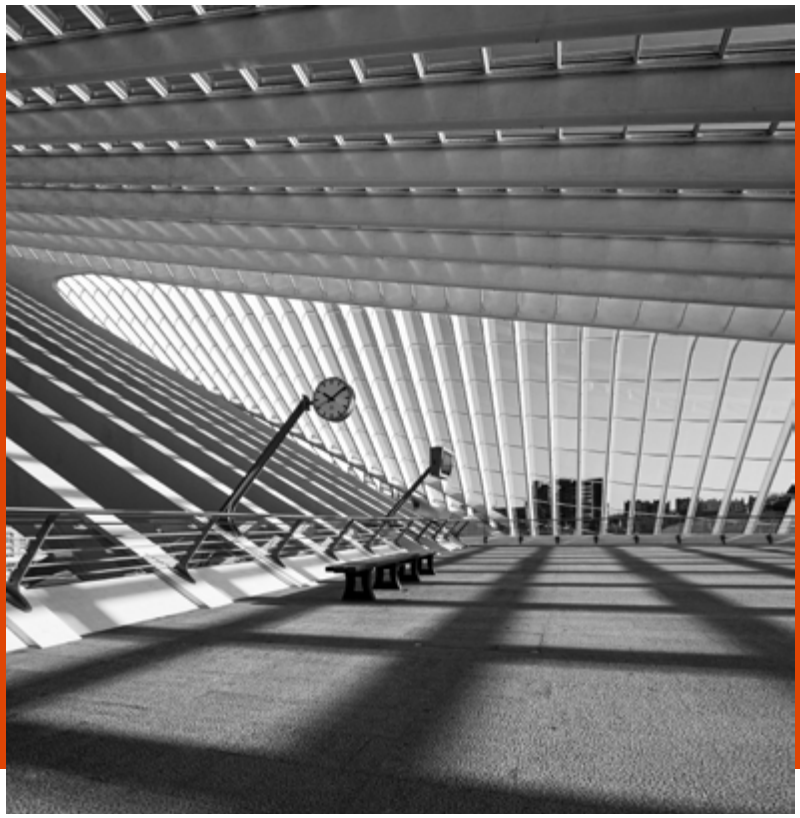


Macroeconomic Outlook

Mauritius

Exchange Rate

During the second quarter of 2023, the Bank of Mauritius intervened only twice (7th of April 2023 and 4th of May 2023) on the domestic foreign exchange market, selling a total of USD 20M. Both interventions were carried out at Rs 45.25.
The rupee was fairly stable against the USD (+0.62%) and EUR (+0.73%) during the quarter and faced with a slight depreciation (-1.75%) against the GBP following hikes by the Bank of England.



Population & Labor Force

There were 551,800 Mauritian employed in Q1 2023 as compared to 531,500 in Q1 2022. The unemployment rate stood at 6.7%, compared to 8.7% in Q1 2022s. Compared to Q4 2022, there were an additional +20,300 persons employed. Youth employment, on the other hand, stands at 20%, down from 28.9% in Q1 2022.

Market Update (April-June)

After a decline of -4.53% in Q1, the SEMTRI bounced back with a gain of 2.47% in Q2. This quarter was characterized by several dividend announcements, with the market reacting positively.

During the quarter, companies reported bumper earnings mainly driven by the key hotel groups who continue to reap the benefits of higher tourist spending. Banks are also profiting from the high interest income from investment securities.

Moreover, foreigners were, once again, net buyers to the tune of Rs 265M. 22 companies, out of 38, recorded a positive gain during the quarter, compared to only 9 in Q1 2023.

Indices	30-Dec-22	31-Mar-23	30-Jun-23	Q1	Q2	H1
SEMDEX	2,055.25	1,959.29	1,967.05	-4.67%	0.40%	-4.29%
SEM-10	373.02	356.62	361.66	-4.40%	1.41%	-3.05%
SEMTRI-MUR	8,427.63	8,045.97	8,244.77	-4.53%	2.47%	-2.17%
DEMEX	266.61	257.14	252.67	-3.55%	-1.74%	-5.23%

Macroeconomic Outlook

Mauritius

Top Gainers

• This quarter's gain was mostly driven by the MCB Group, which provided a total return[2] of 4.7% to shareholders. Most of the foreign buys were driven by MCBG (72%) and foreigners were net buyers by Rs 178.8M. During the quarter, MCBG also announced and paid an interim DPS of Rs 8.50, and trailing dividend yield currently stands at around 5.22%.

• The hospitality industry also enjoyed favorable gains during the quarter, led by SUN and LUX with positive returns of 16.3% and 8.5% respectively. Both announced a DPS of Rs 2.00. The hotel companies continue to benefit from the pent-up demand and higher spending (with the depreciation of the rupee).



Name	% Contribution	Contribution to Total Return	Q2 Perf
MCBG	1.43%	58.56%	4.66%
SUN	0.35%	14.46%	16.29%
ROGERS	0.31%	12.67%	11.02%
VIVO ENERGY	0.26%	10.63%	7.69%
CIEL	0.23%	9.53%	5.50%
LUX	0.22%	9.10%	8.51%
PBL	0.14%	5.78%	4.07%
NMH	0.09%	3.83%	5.15%
GAMMA	0.09%	3.49%	4.36%
HAREL MALLAC	0.08%	3.18%	43.68%

2 *Share Appreciation + Dividend*

Macroeconomic Outlook

Mauritius

Top Losers

- Terra was the top detractor after declining by 7.92% presumedly because of the Rs 88M fine imposed after Terragen 1Y closure, despite posting favorable financials.
- Meanwhile, UBP and MUA continue to bear the brunt of high inflation which is impacting their margins.

Name	% Contribution	Contribution to Total Return	Q2 Perf
TERRA	-0.18%	-7.17%	-7.92%
UBP	-0.06%	-2.53%	-5.44%
MUA	-0.05%	-2.04%	-2.22%
NIT	-0.05%	-1.86%	-13.66%
CAUDAN	-0.04%	-1.66%	-8.47%
ALTEO	-0.03%	-1.37%	-3.06%
MOROIL	-0.02%	-0.85%	-8.11%
MDIT	-0.02%	-0.70%	-4.76%

AXYS Recommendations

STRONG BUY	ACCUMULATE	HOLD
MCB Group	Miwa Sugar	MUA
PAD	Phoenix Bev	Alteo
Fincorp	Afreximbank	
	CIEL Group	
	Terra	
	Medine	
	Lottotech	
	LUX	

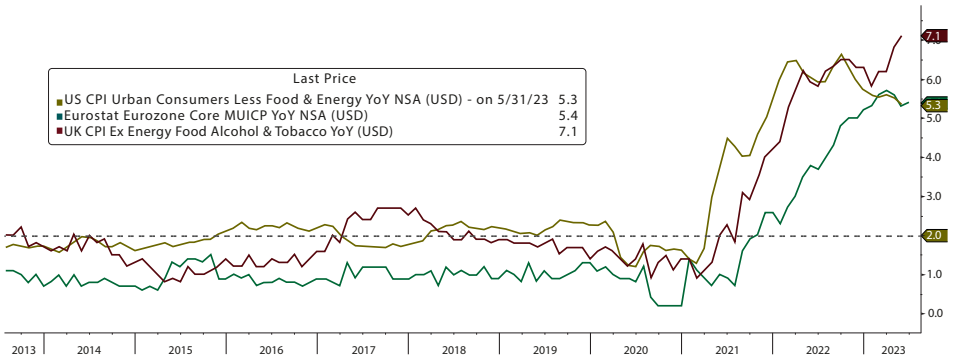


Market Insight



Market Insight

Sticky inflation to keep interest rates elevated

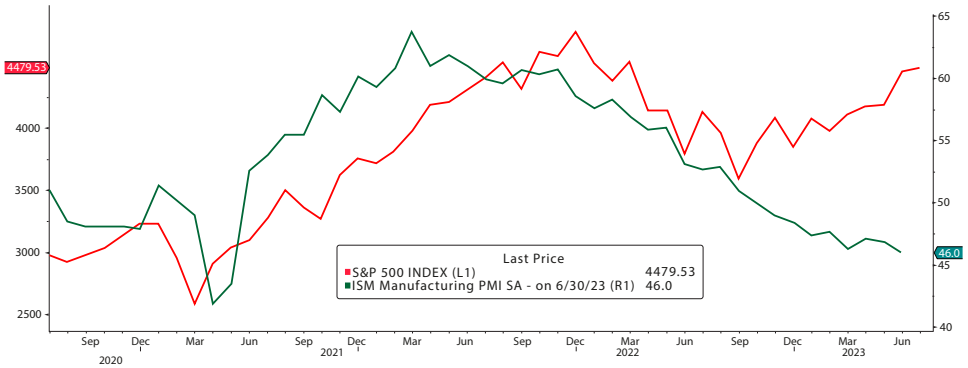


While headline inflation has been on a clear downward trend since the onset of Q4 22, the same cannot be said of core inflation in the developed world. Central bankers are concerned about the stickiness of core inflationary measures as failure to bring them back to targeted levels would invariably be deemed a failure. Interest rate expectations have risen over Q2 23 as traders priced in the renewed hawkishness of central banks. As long as core inflation remains significantly above targeted levels, we should expect central banks to remain in contractionary mode.

The Pound Sterling to benefit from improving yield differentials

The UK 2YR yield briefly rose above the US 2YR yield in Sept 22 before abruptly reversing. We note that in June 23, the UK2YR yield rose again above the US2YR yield. This time around, the Bank of England (BoE) delivered a surprise 50bps rate hike in June as inflationary pressures remain persistent and expectations are for the BoE to keep hiking rate in the foreseeable future. This should prove supportive for the Pound Sterling in the near term to medium term.





Q2 23 witnessed a decoupling between economic fundamentals and market sentiment, especially in equity space. While the global economy was gradually slowing as implied by the declining manufacturing Purchasing Managers Index (PMI) around the world, equity markets were rallying as they speculate that inflation will be under control sooner rather than later. Also, the hype surrounding AI technology has got many investors pouring funds into the equity market for fear of missing out. Will the second half of the year live up to the expectations of equity investors?

Portfolio Performance



Portfolio Performance

- Market performance over Q2 23 was driven by similar themes that have been driving financial markets since Q4 21; that is global disinflation and a resilient labour market. Investors were reassured about the strength of the banking sector and viewed a soft landing for the global economy as the most likely outcome.

- While headline inflation has decelerated significantly over the last six months, core inflation is proving to be stickier than expected. Services driven inflation is the main driver of inflationary trends and might prove more entrenched than goods inflation. Central Banks committed to tighten monetary policy further over Q2 23 as they view the risk of under tightening as being significantly more than that of over tightening.

- The MSCI All Country World Index increased by 6.2% - driven by technology stocks (AI hype). Yields increased across the yield curve in the developed world as the US2YR sovereign yield closed in on 5.0% (+87bps over Q2 23). Currencies underpinned by ahead-of-the-curve central banks outperformed the rest. The Brazilian Real appreciated by 5.8% over the quarter. Gold was on the backfoot and gave up 2.5%.

- The portfolio management team maintained its defensive approach to investment. The exposure to value stocks was increased (Consumer Staples, Healthcare) while EM (including China) stocks were added given their attractive valuations. While EM equities performed strongly, Chinese equities underperformed given negative geopolitical risks associated with China.

- Exposure to Gold was increased over the quarter. We expect the yellow metal to outperform over the medium term as central banks embark on the last stage of their rate hike cycle, implying that peak interest rates are probably around the corner.

Central banks find themselves between a rock and a hard place. The stickiness of underlying inflation trends means that the fight against inflation is not yet won. And as long as the labour markets remain resilient, it is unlikely that inflation expectations will be reined in. History suggests that a recession is likely, but the uncertainty lies in its severity. Can the world economy avoid a hard landing? The second half of 2023 will provide some key indications about the state of the world economy. Earnings season will also be keenly watched to gauge whether the hype surrounding AI technologies make sense from a financial standpoint. In the current market environment, we maintain our views that the fixed income asset class offers the best opportunities.

Conservative	QTD	YTD	1 Year	3 Years (ann.)
USD	0.62%	2.30%	2.77%	-2.45%
EUR	0.45%	1.91%	0.18%	N/A
MUR	0.21%	0.43%	-0.37%	1.80%

Defensive	QTD	YTD	1 Year	3 Years (ann.)
USD	1.06%	3.60%	4.36%	-1.00%
EUR	0.45%	2.20%	2.28%	N/A
MUR	0.59%	-0.28%	-2.26%	2.82%

Balanced	QTD	YTD	1 Year	3 Years (ann.)
USD	1.40%	4.18%	5.94%	-2.10%
EUR	1.09%	2.88%	3.36%	0.86%
MUR	0.67%	-0.64%	-3.51%	4.88%

Trade ideas



Trade Ideas

AXIOM Patrimoine

Our in-house multi-asset class fund was designed to benefit from different asset types, both domestically and internationally, with the goal of strengthening the financial security of investors. Since its launch in 2022, markets have been quite erratic. 2022 was one of the worst years on record for traditional portfolios as both equities and bonds fell in tandem. As we move forward into 2023, we are witnessing a positive shift. We have seen a repricing of the yield curve globally, and companies are regaining their profitability and distributing dividends. This favourable environment has contributed to the Fund's recent rebound and was up 0.41% over the past 3 months and is on pace to have a strong performance in July. In their latest meeting, the Bank of Mauritius decided to keep the Key Rate unchanged at 4.50%, on the back of a recovering economy and easing inflation. Although there may be concerns about a potential economic slowdown, the Fund is well equipped to navigate such challenges and is well positioned to capitalize on opportunities as they arise. We believe a disciplined investment approach based on a robust quantitative and risk management process is crucial to achieve long-term capital growth while mitigating losses. AXIOM Patrimoine offers access to a well-constructed and actively managed fund that combines the benefits of different asset classes both domestically and internationally.
[See Page 24]

Hedge the El Niño risk with Agricultural Commodities

Earlier this year, we made the case for being long Chinese equities in a global macroeconomic environment which suggested that US equities would underperform. After rising by 57% from its October 2022 low, the MSCI China Index has corrected in recent months as the Chinese economy has failed to build on the initial momentum gathered from when authorities lifted Covid-19 related social restrictions. Chinese assets have also suffered from the negative headlines associated with its ongoing tensions with the West, especially the United States. Given China's increasingly important role on the world stage, investors have to get used to such negative publicity related to China as its rivals will try to undermine its ascension at all costs. On the economic front, the Chinese economy is recovering from a severe property crisis and the economy has also been fragilised by a weakening global macroeconomic environment. However, authorities have effectively ringfenced the property sector from the rest of the economy while China's reliance on the rest of the world has declined significantly. From a valuation perspective, Chinese equities are historically cheap. We remain constructive on Chinese equities and believe they will deliver robust returns over the medium term.
[See Page 31]

Chinese equities remain cheap

The commodities asset class has been under pressure so far this year as the demand outlook for the global economy worsened on account of the restrictive stance adopted by central banks globally. One segment of the commodities market which has been resilient so far in 2023 has been the Agricultural segment as prices for agricultural commodities remain supported. One of the main reasons put forward by traders has been the El Niño phenomenon which is expected to be somewhat strong this year. El Niño is a climate pattern that originates in the Pacific Ocean along the equator and impacts weather all over the world. With June 2023 being the hottest ever documented month and the second week of July 2023 being the hottest week ever recorded, the risk of a climate-led negative impact on agricultural prices is very much real going into the second half of the year. As such, we view an exposure to agricultural futures as being a possible way to hedge the El Niño risk.
[See Page 31]

AXIOM

Funds



AXIOM Funds

AXIOM Patrimoine

Capital Growth through Diversification

Over the last quarter we saw a rebound in local equity markets, after a favourable earnings season. AXIOM Patrimoine was up 0.41% driven by The SEMDEX (TR) which was up 2.79%. However, performance was dragged by our international portfolio, as global bonds and commodities endured a complicated quarter. AXIOM Patrimoine was created to provide investors the opportunity of long-term capital growth and we believe our risk-based model, and well-diversified portfolio is ideal to navigate markets over the long run.

AXIOM Yield Fund

Higher Return Potential on Your Savings

AXIOM Yield Fund aims to deliver returns above the savings rate plus a premium, through capital appreciation and regular income distribution. Since the beginning 2023, AXIOM Yield Fund is up 4.78%, bringing its annualised return since inception to 5.34%. The Bank of Mauritius maintained interest rates unchanged throughout 2023, which has maintained a favourable environment for local fixed income securities. AXIOM Yield Fund has also benefited from foreign currency diversification as both the EUR and USD appreciated vs the MUR. With a diversified portfolio of sovereign bonds and high yield bonds in both MUR and hard currencies, AXIOM Yield Fund remains well positioned and offers a good alternative for investors seeking higher return potential on their savings.

AXIOM Africa Equity Fund

African Potential

In Q2'23, the fund was down 8.41% amid an unfavourable economic environment, lagging its benchmark by 4.18% following a sharp depreciation of the NGN vs USD. AXIOM Africa was designed to offer investors an opportunity to invest in best-in-class African stocks. The Fund aims to benefit from the various socio-economic and structural changes which are unfolding in the region, such as the demographic boom and the digitalisation revolution. To capitalize on these opportunities, we recommend a 'Quantamental' approach that combines quantitative stock filtering with fundamental research to select stocks across the region optimally.

Dynamic Global Equity

Quality Global Exposure in Multiple-Currencies

Dynamic Global Equity Fund has rebounded strongly posting a gain of 13.95% since the start of the new year and 4.45% in Q2'23. Global shares gained in the quarter led by developed markets, notably the US on the back of enthusiasm over Artificial Intelligence which boosted technology stocks. While the US Federal Reserve decided to stay on hold in June, major central banks raised interest rates in the period. The Fund offers exposure to high-quality global stocks and has maintained a strong track record since its inception, with an annualised return of 12.71%. Dynamic Global Equity remains well positioned to navigate positively in the second half of 2023.

AXIOM Equity Fund

Opportunity to Participate in Mauritian Economy

AXIOM Equity Fund seeks to provide investors with access to the top-rated Mauritian stocks that exhibit robust fundamentals and are anticipated to perform well across various market cycles. In the second quarter of 2023, the Fund's performance rebounded strongly posting a gain of 7.80% while its benchmark returned 2.79% over the period. During this period, the Fund's returns outperformed its benchmark by 5.01%. The Bank of Mauritius decided to keep its key rate unchanged as inflation starts to cool down. AXYS maintains that the local economy will keep benefiting from the favourable momentum in the tourism industry. As a result, AXIOM Equity Fund is expected to benefit from this recovery and is well positioned to do so.

AXIOM Funds

AXIOM Patrimoine

(I MUR)

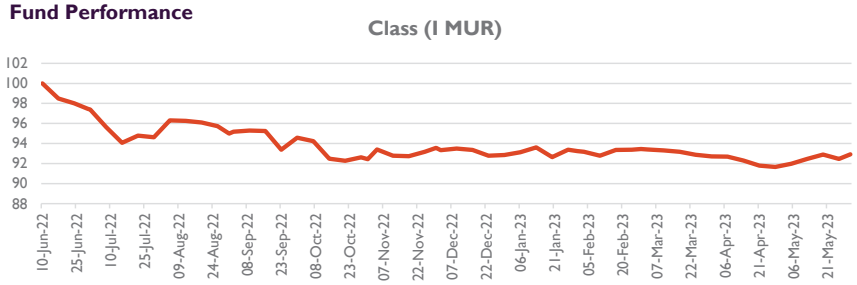
30 June 2023

Investment Focus

AXIOM Patrimoine is a multi-asset class fund designed to benefit from different asset types both domestically and internationally, with the goal of delivering and absolute and stable rate of return through both income and capital appreciation.

The investment strategy combines a liquidity driven stock selection model for local equities and a risk-parity model for international securities.

Fund Performance



Price Data

R Class - MUR	9.02
I Class - MUR	9.31

Performance as at 30 June 2023

	1 Month	3 Months	YTD	1 Year	Since Inception
Class I MUR	0.19%	0.41%	0.28%	-4.48%	-6.90%
Class R MUR	0.11%	0.16%	-0.22%	-5.43%	-9.82%

Fund Facts

Investment Manager	AXYS Investment Partners
Inception Date	10 June 2022
Target	6% Annualised
Management Fee - R	2.0%
Management Fee - I	1.0%
Entry Fee	Up to a maximum of 2%
Exit Fee (< 1 Year HP*)	Up to a maximum of 2%
Exit Fee (1 to 3 Years HP*)	Up to a maximum of 1%
Exit Fee (> 3 Years HP*)	0.0%
Performance Fee (R and I)	20% of Positive Perf above the Hurdle Rate & HWM
Minimum Investment	R: MUR10,000
(Lump Sum)	I: MUR50,000,000
Regular Savings Plan	R: MUR 1,000 / I MUR 5Million
Liquidity	Weekly
Sub/Red Cut-off	Friday 11:00am MRU Time

**HP: Holding Period*

Market Review

Local Market

Over the month, the SEMTRI had a positive performance of 0.34% driven by Cons. Discretionary and Industrials. Annual inflation dropped to 7.9% YoY in May as compared to 8.3% YoY in April. PPI fell to 9.5% YoY in May as compared to 9.6% YoY in April. The Bank of Mauritius decided to keep the Key Rate unchanged at 4.5% on the back of a recovering economy recovers and easing inflation.

International Market

Global Equities performed strongly in May, up 5.28% in MUR terms led by developped markets, while emerging market stocks lagged behind. Global Bonds were down 0.87% in MUR term, while commodities rebounded, up 3.03% over the month.

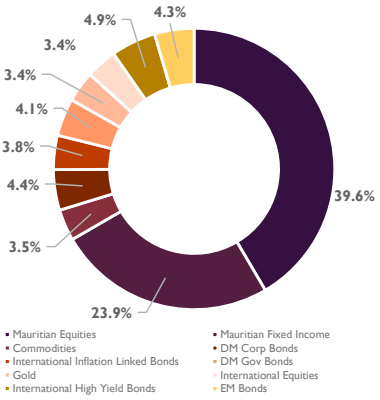
Portfolio Comments

Portfolio performance was mainly driven by our international portfolio over the month, as both local and international markets were up. Performance of our international portfolio was impacted by an appreciation of MUR vs USD.

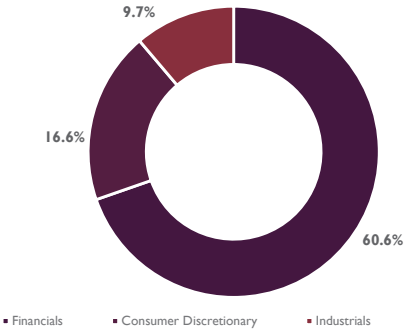
Key Figures - as of end of month

Asset Under Management (MUR)	113.07M
Number of Holdings (ex. Cash)	29
Beta	-
Volatility	-
Sharpe Ratio	-
Largest Upside (weekly)	1.78%
Largest Drawdown (weekly)	-1.97%
No of upside returns (weekly)	24
No of downside returns (weekly)	38

Asset Class Split



Local Equities Sector Split



Top 5 Positions

MCB Group Ltd	14.7%
MAURTN 2 1/4 10/05/24	10.7%
IBL Ltd	5.5%
iShares JP Morgan USD En	4.9%
iShares Global Corp Bond	4.4%

Top Contributors (bps)

SPDR MSCI World UCITS	0.19%
Invesco Bloomberg Comm	0.10%
Rogers & Co Ltd	0.09%

Top Detractors (bps)

MCB Group Ltd	-0.13%
WisdomTree Physical Gol	-0.10%
Medine Ltd	-0.07%

AXIOM

AXIOM Africa Equity Fund (I USD)

30 June 2023

Funds

Investment Focus

The objective of the Fund is to achieve long-term capital growth by investing in listed African equities which will benefit from various socio-economic structural changes unfolding in Africa. These include the demographic wave driven by a growing African middle class and the digital revolution unfolding throughout the continent.

The capital allocation of the Fund follows a robust 'Quantamental' approach combining crucial top down risk management, quantitative stock filtering process and solid bottom-up analysis. This disciplined framework guides the decision making process throughout the investment cycle, starting from mega trend identification till execution.

While it is not intended that the investment policy will be dictated by a benchmark, performance achieved will be measured against the MSCI Emerging Frontier Markets Africa Index for comparison purposes. The composition of the Fund will therefore not match or reflect that of its benchmark.

Class	Currency	Inception	Price
I	USD	05 Aug 2020	9.6383
I	EUR	05 Aug 2020	8.8351
I	MUR	05 Aug 2020	438.9523
R	USD	11 Dec 2020	8.3225
R	EUR	19 Feb 2021	7.1510
R	MUR	16 Oct 2020	420.3711

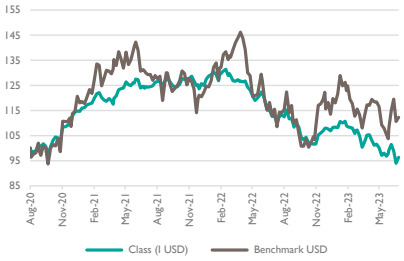
Fund Facts

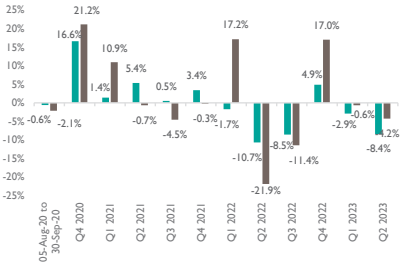
ISIN	MU0676S00009
Bloomberg Ticker	AXAFCIU
Investment Manager	AXYS Investment Partners
Benchmark	MSCI EFM Africa Index
Management Fee - R	2.0%
Management Fee - I	1.5%
Entry Fee	Up to a maximum of 2%
Exit Fee	Up to a maximum of 2%
Minimum Investment	R: USD1,000 or equiv. I: USD100,000 or equiv.
Liquidity	Weekly
Sub/Red Cut-off	Friday 11:00am MRU Time

Key Figures - as of end of month

Asset Under Management (USD)	839,785
Number of Holdings (ex. Cash)	25
Market Cap (M USD weighted)	7,338
Price/Book (trail. weighted)	2.9x
Price/Earnings (trail. weighted)	18.5x
Dividend Yield (trail. %)	4.96%
Active Share	>90%
Beta	0.3
Volatility	10.8%
Tracking Error	4.8%
Risk Adjusted Return	-0.1
Information Ratio	-1.1
Largest Upside (weekly)	5.45%
Largest Drawdown (weekly)	-4.97%
No of upside returns (weekly)	79
No of downside returns (weekly)	72

Fund Performance





Performance as at 30 June 2023

	1 Month	3 Months	YTD	1 Year	Since Inception
Class I USD	-1.37%	-8.41%	-11.08%	-14.71%	-3.62%
Benchmark	8.19%	-4.23%	-4.85%	-1.40%	12.27%
Class R USD	-1.41%	-8.53%	-11.30%	-15.13%	-16.78%
Benchmark	8.19%	-4.23%	-4.85%	-1.40%	-2.01%
Class I EUR	-3.35%	-9.00%	-12.73%	-18.03%	4.82%
Benchmark	5.42%	-4.66%	-6.65%	-5.32%	22.09%
Class R EUR	-3.39%	-9.11%	-12.95%	-18.44%	-13.34%
Benchmark	5.42%	-4.66%	-6.65%	-5.32%	-6.26%
Class I MUR	-1.92%	-8.98%	-8.61%	-14.39%	10.64%
Benchmark	7.58%	-4.82%	-1.86%	-1.03%	28.82%
Class R MUR	-1.96%	-9.09%	-8.83%	-14.82%	4.07%
Benchmark	7.58%	-4.82%	-1.86%	-1.03%	27.24%

Market Review

Northern Africa

Morocco – Over the month the MASI Free Float Index TR (USD) increased by 8.50% driven by Financials and Materials. May CPI was at 7.1% YoY (-0.4% MoM) compared to 7.8% YoY (1.4% MoM) in April. M3 Money supply grew 7.9% YoY in May. **Egypt** – Over the month the EGX 30 Index TR (USD) was up 0.97% driven by Cons. Staples and Industrials. Egypt PMI was at 47.8 in May, compared to 47.3 a month earlier. Urban CPI accelerated to 32.7% YoY in May compared to 30.6% YoY in April. Core CPI accelerated to 40.31% YoY, compared to 38.60% the previous month. In Q1'23 GDP contracted by 7.6%, following an expansion of 1.1% in the previous quarter. **Tunisia** – Over the month the TUNINDEX Index TR (USD) was up 3.64% driven by Financials and Materials. In May, CPI came in at 9.6% YoY compared to 10.1% YoY the prior month. The Central Bank maintained interest rates unchanged at 8%, as they expect inflation to keep on pushing downwards.

Western Africa

Nigeria – Over the month the Nigerian Stock Exchange All Share Index TR (USD) was down 33.37% over devaluation of the Naira vs USD. Annual inflation rose to 22.4% YoY in May as compared to 22.2% YoY April. Nigeria PMI index dropped to 53.2 in June from 54.0 in May on the back of the fuel subsidy removal. **BRVM** – Over the month the BRVM Composite Index TR (USD) was up 7.14% driven by Comm. Services and Financials. Senegal CPI was up 8.3% YoY in May, compared to 9.0% in April. In May GDP contracted by 0.8% in Q1'23, compared to an expansion of 3.0% in the previous quarter. **Ghana** – Over the month, the GGSECI Index TR (USD) was up 10.22% driven by Comm. Services and Cons. Staples. Annual inflation accelerated slightly to 42.2% YoY in May as compared to 41.2% YoY in April. PPI increases to 43.9% YoY in April as compared to 41.8% YoY in March. Private sector PMI at 51.3 in May unchanged as April.

Eastern Africa

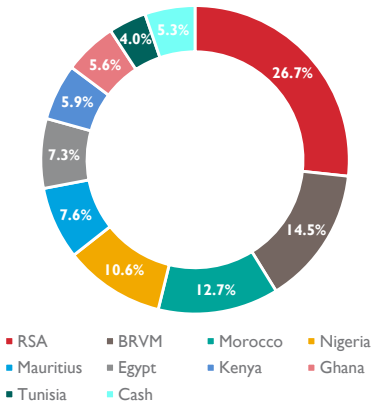
Kenya – Over the month, the NSE All-Share TR (USD) was up 1.91% driven by Comm. Services and Cons. Staples. In May, CPI accelerated to 8.0% YoY, compared to 7.9% YoY in April. May PMI increased to 49.4, up from 47.2 in March, however still below 50 for a fourth consecutive month. **Mauritius** – Over the month, the SEMDEX TR (USD) was up 0.91% driven by Cons. Discretionary and Industrials. Annual inflation dropped to 7.9% YoY in May as compared to 8.3% YoY in April. PPI fell to 9.5% YoY in May as compared to 9.6% YoY in April. The Bank of Mauritius decided to keep the Key Rate unchanged at 4.5% on the back of a recovering economy recovers and easing inflation.

AXIOM Africa Equity Fund (I USD)

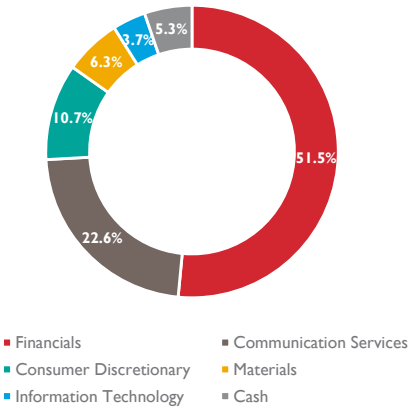
30 June 2023

AXIOM Funds

Geographic Split



Sector Split



Top 5 Positions

Naspers	6.2%
SGBC	5.0%
Sonatel	4.9%
FirstRand	4.8%
Banque Centrale Populaire	4.8%

Top 3 Contributors (bps)

Naspers	104
FirstRand	79
Banque Centrale Populaire	68

Top 3 Detractors (bps)

MTN Nigeria	-198
Zenith Bank	-133
Impala Platinum	-37

Market Cap Breakdown (USD)

Above 1B	63.5%
500M — 1B	3.1%
100M — 500M	26.5%
Below 100M	6.9%

Market Review Continued

Southern Africa

South Africa – In June, The FTSE JSE All-Share Index (TR USD) was up 6.58%, driven by the Consumer Discretionary sector and a strong appreciation of the ZAR vs USD. Producer inflation decelerated to 7.3% in May, from 8.6% in April – in line with market expectation. Headline consumer inflation came in at 6.3% in May, from 6.8% in April reflecting a slowdown in food and transport inflation. Mining production was up 2.3% YoY in April, ending a 14-month contractionary trend.

Portfolio Positioning

Northern Africa

Morocco – Stock selection was positive over the month: BCP +16.55%, HPS +9.72% and Disway +5.86% contributed positively by 68bps, 37bps and 20bps respectively. **Egypt** – Telecom Egypt was up 6.80% contributing 23bps while COMI was down 2.50% contributing negatively by 10bps during the month. **Tunisia** – BIAT was up 1.96% over the month, contributing 8bps.

Western Africa

Nigeria – Stock selection was negative over the month on the back of currency depreciation vs USD. Airtel Africa -5.06%, Zenith Bank -28.28% and MTN Nigeria -33.85% contributed negatively by 18bps, 133bps and 198bps respectively. **BRVM and Gabon** – SGBC +11.89% was the region's top performer contributing 53bps. Sonatel +5.73% and SIBC 3.64%, contributed positively by 26bps and 16bps respectively. **Ghana** – Calbank was up 18.15%, contributing 44bps to overall portfolio performance while Perseus Mining was down 6.05% contributing negatively by 17bps.

Eastern Africa

Kenya – Safaricom was up 3.88% over the month, contributing 11bps, while Equity bank was down 0.55%, contributing -2bps at portfolio level. **Mauritius** – SBM was up +1.69% contributing 6bps while MCB Group was down 0.71%, contributing -1bp to the overall portfolio.

Southern Africa

South Africa – Stock selection was positive for the month except for Impala Platinum -16.79% which contributed negatively by 37bps to the portfolio. Naspers +20.08%, FirstRand +19.52%, MTN Group +19.11%, Nedbank +15.47%, Prosus +11.73% and Glencore +11.05% contributed positively by 104bps, 79bps, 64bps, 48bps, 47bps and 18bps respectively to the portfolio performance.

Note: Performance is reported in USD Total Return terms.

DISCLAIMER

This document is provided for information purposes only and is not a solicitation or an offer to buy or sell any fund. AXIOM Africa Equity Fund (the "Fund") is authorised as a collective investment scheme by the Financial Services Commission of Mauritius ("FSC") and is suitable only for such persons described in the prospectus. The full version of the prospectus and the subscription documents can be obtained upon request from the Manager. The FSC does not vouch for the financial soundness or for the correctness of any statements or opinions expressed with regards to the Fund. AXYS INVESTMENT PARTNERS LTD (the "Manager") accepts no liability or responsibility whatsoever for any consequential loss of any kind arising out of the use of this document or any part of its contents. Investors are not protected by any statutory compensation arrangement in Mauritius in the event of the Fund's failure. Any past performance figures as published herein are not to be taken as a guide to future returns. As is true for any investment in any collective investment scheme, investment in the securities herein is not guaranteed. The value of the investment may go up as well as down and the investor may not get back his initial capital. In certain circumstances an investor's right to redeem his investment may be suspended. Indices are used for comparative purposes only. The Manager is duly licensed by the FSC as CIS Manager and Investment Adviser (Unrestricted).

AXIOM Yield Fund

30 June 2023

AXIOM Funds

Fund Objective

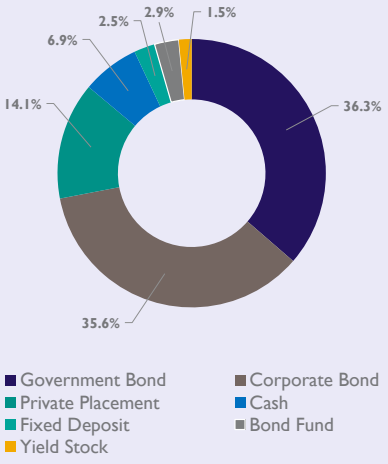
AXIOM Yield Fund was set up with the objective of providing investors with regular income and aims to outperform the average savings rate plus a premium by maximizing risk adjusted returns.

Fund Manager Comments

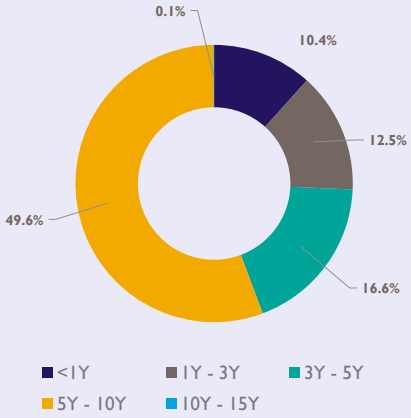
AXIOM Yield Fund was up 0.34% during the month while the benchmark returned 0.36%. The Fund's performance was mostly driven by its exposure to longer term MUR denominated securities in June and boosted by its foreign investments exposure. Annual inflation dropped to 7.9% YoY in May as compared to 8.3% YoY in April. In May, the weighted average yield on Treasury bills and Government of Mauritius Bonds was mixed. The weighted average yield on the 3-months, 6-months and the 1-year Treasury Bills had a weighted average yield standing at 4.72%, 4.58% and 4.82%, respectively up by 17bps, down by 22bps and 3bps compared to the auction held in May. The last 3-year and 20-year Government of Mauritius Bonds had a weighted average yield standing at 4.84% and 5.71% respectively down by 19bps and 48bps compared to the auction held in May and January. The last 7-year Government of Mauritius Bonds had a weighted average yield standing at 5.30% up by 2bps compared to the auction held in May.

Total AUM	MUR 226.0M
NAV	11.24
Currency	MUR
Inception Date	23 November 2017
Min. Investment	MUR 50,000
Dividend Frequency	Semi Annually[1]
Dividend Yield	4.34%
Total Expense Ratio	1.30%
Benchmark	Average Savings Rate + 2.0%
Entry Fee/ Exit Fees	Up to 2%
Liquidity Period	Weekly

Asset Class



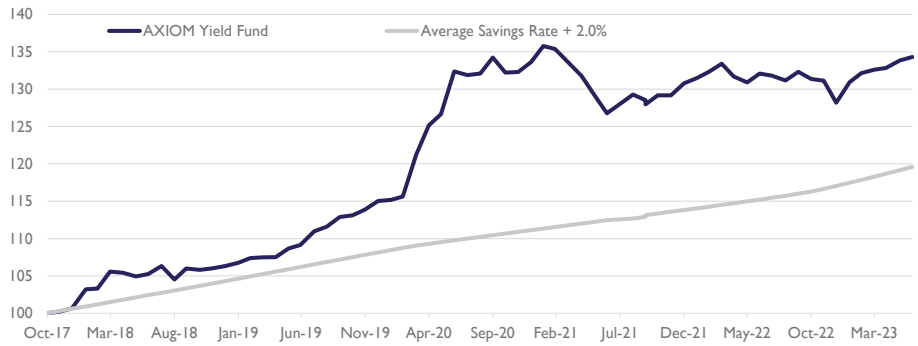
Duration Breakdown



Portfolio Metrics

Average Duration	4.17
Weighted YTM	6.32%

Fund Performance[2]



Performance as at 30 June 2023

	AXIOM Yield Fund	Avg. Savings Rate +2.0%
1 Month's Return	0.34%	0.36%
3 Months' Return	1.29%	1.11%
YTD	4.78%	2.18%
12 Months' Return	1.68%	3.80%
Return Since Inception	34.31%	19.59%
Ann. Return Since Inception	5.34%	3.21%

	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	YEAR	Avg SR + 2.0%
2017	-	-	-	-	-	-	-	-	-	-	0.23%	0.41%	0.64%	0.61%
2018	2.56%	0.10%	2.19%	-0.14%	-0.48%	0.29%	1.03%	-1.68%	1.39%	-0.18%	0.21%	0.29%	5.66%	3.67%
2019	0.39%	0.59%	0.11%	0.02%	1.09%	0.41%	1.70%	0.54%	1.16%	0.20%	0.68%	1.01%	8.16%	3.68%
2020	0.15%	0.37%	4.88%	3.22%	1.20%	4.52%	-0.38%	0.16%	1.62%	-1.49%	0.04%	1.02%	16.19%	2.76%
2021	1.60%	-0.30%	-1.39%	-1.27%	-1.97%	-1.87%	1.96%	-0.58%	-0.43%	0.95%	0.00%	1.24%	-2.13%	2.43%
2022	0.55%	0.61%	0.83%	-1.27%	-0.61%	0.90%	-0.21%	-0.50%	0.89%	-0.71%	-0.18%	-2.26%	-1.99%	2.83%
2023	2.14%	0.94%	0.34%	0.19%	0.76%	0.34%							4.78%	2.18%

1: October 1st & April 1st

2: Line graph & Performance statistics assume reinvested dividends

AXIOM

Dynamic Global Equity (I USD)

30 June 2023

Funds

Underlying Fund Investment Objective

Dynamic Global Equity Fund is a feeder fund which invests directly in Fundsmith Equity Fund. The aim of the underlying fund is to provide long-term growth by investing in equities on a global basis and adopting a specific investment philosophy. It is envisaged that the underlying fund will generally be comprised of 20 to 30 stocks. The underlying fund is not expected to invest in derivatives and is not expected to hedge any currency exposure.

Underlying Fund Manager Philosophy

The philosophy of the underlying fund manager is to invest in equities which are of high quality and difficult to replicate. The company selects equities with a perceived high degree of certainty of growth and businesses which are resilient to change. It also selects businesses whose valuation is considered to be attractive.

Underlying Portfolio Comments

The underlying fund made no outright sales or purchases of holdings made in the month. The top 5 contributors in the month were Stryker, Philip Morris, L'Oréal, Meta Platforms and IDEXX. The top 5 detractors were Novo Nordisk, Alphabet, Coloplast, Microsoft and Mettler-Toledo.

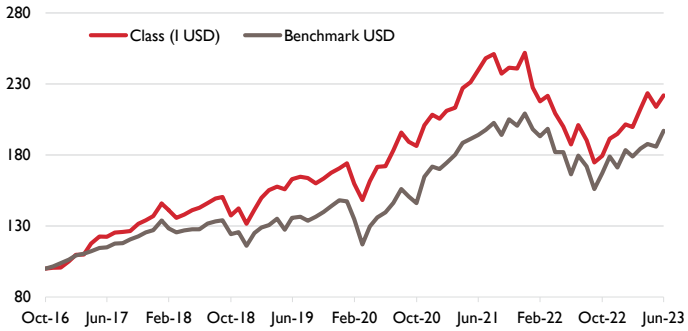
Key Facts

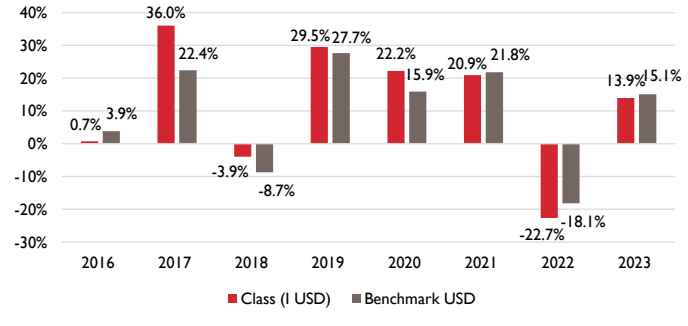
Fund Total AUM	USD 112.2mn
Currency	USD
Min. Investment (Lump Sum)	USD 1,000,000
Total Expense Ratio	1.15%
Underlying Fund Manager	Terry Smith
Morningstar Rating	Gold
Entry Fee	Up to a max of 2%
Exit Fee	Up to a max of 2%

Class	CCY	Inception	Price
I	USD	Nov 4, 2016	48.47
I	GBP	Nov 4, 2016	38.16
I	EUR	Nov 4, 2016	44.41
I	MUR	Mar 19, 2020	2,200.80
R	USD	Oct 14, 2015	238.81
R	GBP	Nov 4, 2016	190.03
R	EUR	Nov 4, 2016	216.71
R	MUR	Aug 17, 2017	10,658.11

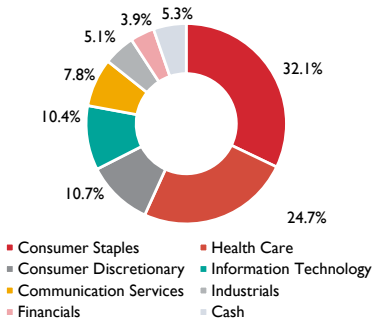
Performance as of 30 June 2023

	1 Month	3 Months	YTD	1 Year	Since Inception	Ann S.I.
Class I USD	3.77%	4.45%	13.95%	18.46%	121.96%	12.71%
Benchmark	6.05%	6.83%	15.09%	18.51%	97.08%	10.71%
Class R USD	3.73%	5.00%	14.41%	18.67%	138.48%	11.92%
Benchmark	6.05%	6.83%	15.09%	18.51%	105.87%	9.81%
Class I GBP	1.63%	1.44%	8.38%	13.56%	116.37%	12.28%
Benchmark	3.86%	3.75%	9.47%	13.62%	89.92%	10.10%
Class R GBP	1.59%	1.98%	8.83%	13.76%	110.40%	11.81%
Benchmark	3.86%	3.75%	9.47%	13.62%	89.92%	10.10%
Class I EUR	1.61%	3.78%	11.67%	13.76%	125.69%	12.99%
Benchmark	3.92%	6.15%	12.94%	13.89%	98.38%	10.82%
Class R EUR	1.57%	4.34%	12.12%	13.89%	119.19%	12.49%
Benchmark	3.92%	6.15%	12.94%	13.89%	98.38%	10.82%
Class I MUR	3.52%	3.26%	16.88%	18.67%	71.93%	17.63%
Benchmark	5.45%	6.17%	18.28%	18.95%	76.22%	18.51%
Class R MUR	3.48%	3.81%	17.36%	18.88%	124.59%	14.65%
Benchmark	5.45%	6.17%	18.28%	18.95%	128.87%	15.02%

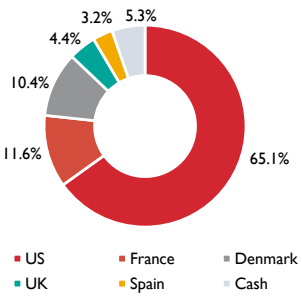




Sector Split



Geographical Split



AXIOM Equity Fund
(I MUR)
30 June 2023

AXIOM Funds

Fund Objective
The investment objective of the fund is to achieve long term growth through a blended investment strategy consisting of both growth and value stocks. All dividends are reinvested given their importance in driving long-term portfolio growth. The fund invests only in equities listed on the Stock Exchange of Mauritius.

Fund Manager Comments
The Fund was up 3.04% during the month while the SEMTRI had a positive performance of 0.34%. SEMTRI's performance was driven by Cons. Discretionary and Industrials while AXIOM Equity Fund was driven by Financials, Cons. Discretionary and Industrials.

Annual inflation dropped to 7.9% YoY in May as compared to 8.3% YoY in April.

PPI fell to 9.5% YoY in May as compared to 9.6% YoY in April.

The Bank of Mauritius decided to keep the Key Rate unchanged at 4.5% on the back of a recovering economy recovers and easing inflation.

The trade deficit showed a decrease of 10.8% MoM in April 2023 and a decrease of 6.6% YoY in the same month.

Tourist arrivals at 514,258 from Jan-May 23, representing 92.2% of 2019 levels during the same period.

While tourist arrivals still lag their pre-pandemic levels, the hospitality sector has posted profitability higher than in 2019.

The Fund's investments have strong fundamentals with the actual portfolio expected to benefit strongly from an improvement in market conditions as business activities pick up.

Total AUM	Rs. 27.1m
NAV (Class R)	9.95
NAV (Class I)	10.59
Initial NAV	11.07
Currency	MUR
Inception Date	03 February 2017
Total Annual Fund Operating Expense Ratio	1.25%
Min. Investment (Lump Sum)	MUR 10,000,000
Fund Manager	AXYS Investment Partners Ltd
Entry / Exit Fee	Up to 2%

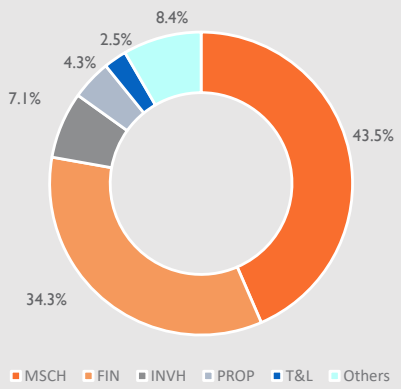
Gainers

▲ 11.6%	▲ 2.2%	▲ 1.1%
UTIN	CIEL	SBM

Laggers

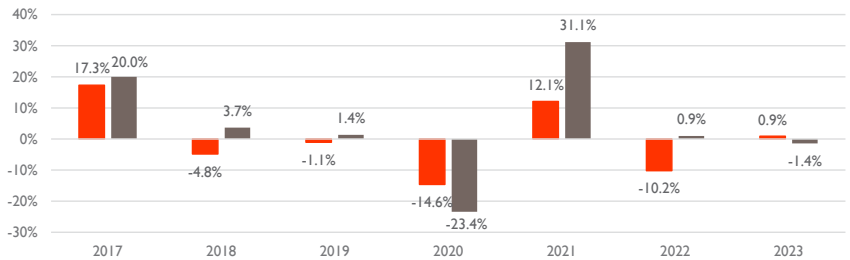
▼ -2.2%	▼ -1.1%	▼ -0.9%
ASCE	IBL	MCB

Sector Allocation



Fund Performance (Class I)





Performance (Class I) at 30 June 2023

	AXIOM - I	SEMTRI
1 Month Return	3.04%	0.34%
3 Months' Return	7.80%	2.79%
YTD	0.89%	-1.42%
12 Months' Return	-12.23%	-3.08%
Return since Inception	-4.32%	26.00%
Annualised Return since Inception	-0.69%	3.67%

Key Figures - as at end of month

Beta	0.59	Tracking Error	3.27%
Volatility	12.87%	Sharpe Ratio	-0.05
Information Ratio	-1.33		

Product

Factsheet



Product Factsheet

Investment Opportunity

Invesco DB Agriculture Fund

July 2023

Overview

The Invesco DB Agriculture Fund (Fund) seeks to track changes, whether positive or negative, in the level of the DBIQ Diversified Agriculture Index Excess Return (DBIQ Diversified Agriculture Index ER or Index) over time, plus the income from the Fund's holdings of US Treasury securities, money market funds and T-Bill ETFs, less the Fund's expenses.

About the Product

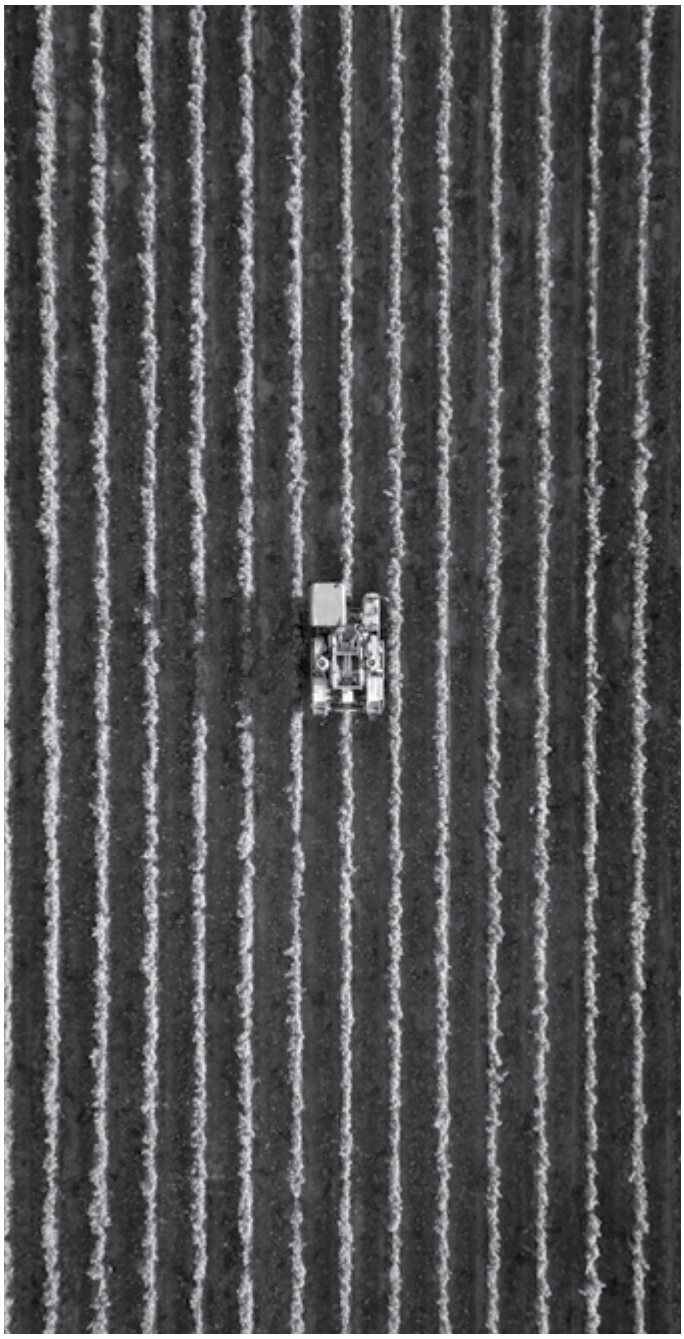
The Fund invests in liquid futures contracts trading on regulated exchanges and has the following potential advantages. The Fund follows the Index which utilizes an Optimum YieldTM methodology designed to provide a more sophisticated strategy for investing in commodities than that provided by conventional commodity indexes.

Target Audience

The Fund is designed for investors who want a cost-effective and convenient way to invest in commodity futures.

Highlights	
Issuer	Invesco
AUM	USD 842M
Currency	USD
Inception Date	5 Jan 2007
Minimum Ticket size	$ 10,000
Brokerage Fees	3%

Fund Characteristics	
Fund Name	Invesco DB Agriculture Fund
Management Fee	0.85%
Total Expense Ratio	0.91%
Listing Exchange	NYSE Arca



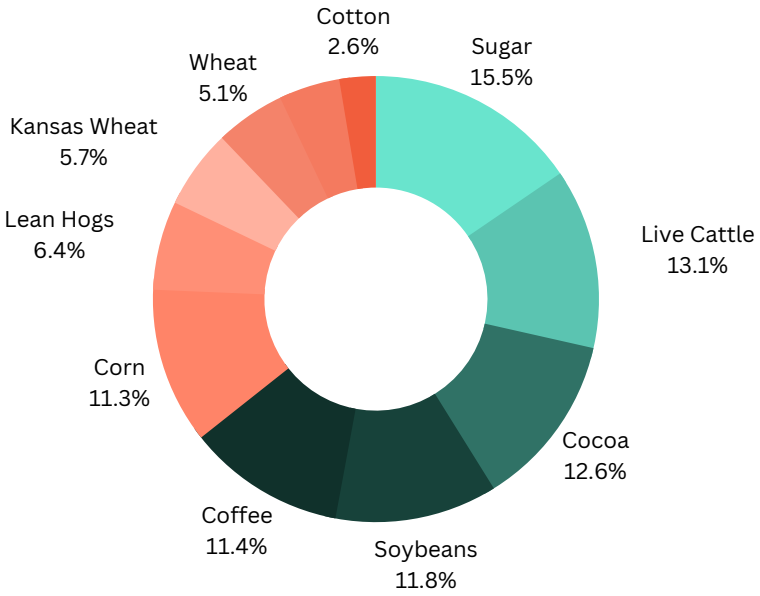
Product Factsheet

Investment Opportunity

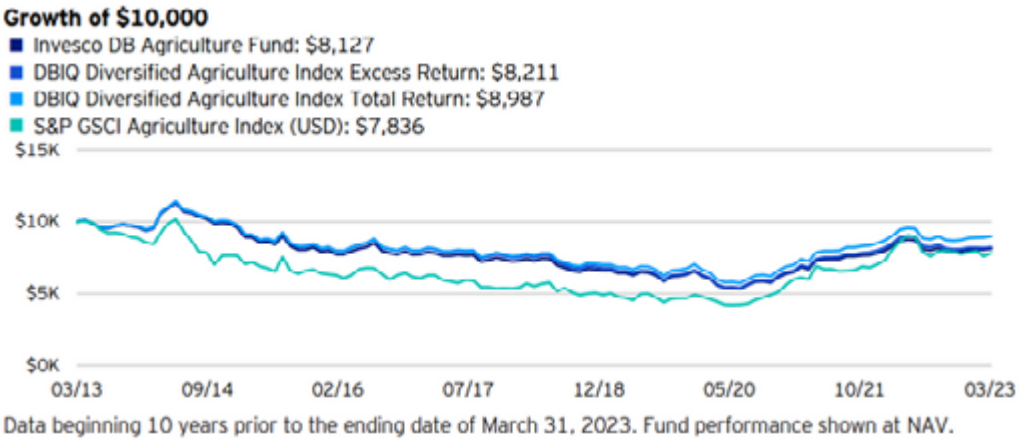
Invesco DB Agriculture Fund

Top ETF Holdings

as at 31st March 2023



Growth of USD 10,000 since inception



Data beginning 10 years prior to the ending date of March 31, 2023. Fund performance shown at NAV.

Product Factsheet

Investment Opportunity

MSCI China ETF

July 2023

Overview

Chinese equity markets have significantly underperformed their peers over the past few years. Over the last five years, the S&P 500 was up 56.8%, the MSCI All Country World Index returned 29.0% while the Shanghai Composite Index lost 0.7%. 2023 however is lining up to be a turnaround year for the Chinese economy. Late in 2022, authorities announced the re-opening of their borders. If this is handled adequately, China could well pick up the growth baton from the developed world. From a relative valuation perspective, Chinese stocks are at historically cheap levels versus US stocks.



About the Product

This Product seeks to track the investment results of an index composed of Chinese equities that are available to international.

Target Audience

This product is for investors who wish to benefit from the resurgence of the Chinese economy through the recovery of Chinese equity markets. The latter being at historically cheap levels against US equity could attract investors weary of the effects of the economc slowdown in developed economies.

Highlights	
Issuer	BlackRock
AUM	USD 7.65B
Number of	645
Currency	USD
Inception Date	March 2011
Minimum Ticket Size	USD 10,000
Brokerage Fees	3%

Fund Characteristics	
Beta vs S&P 500 (3y)	0.27
Standard deviation	30.83%
Prce to Earnings	12.25
Price to Book	1.52

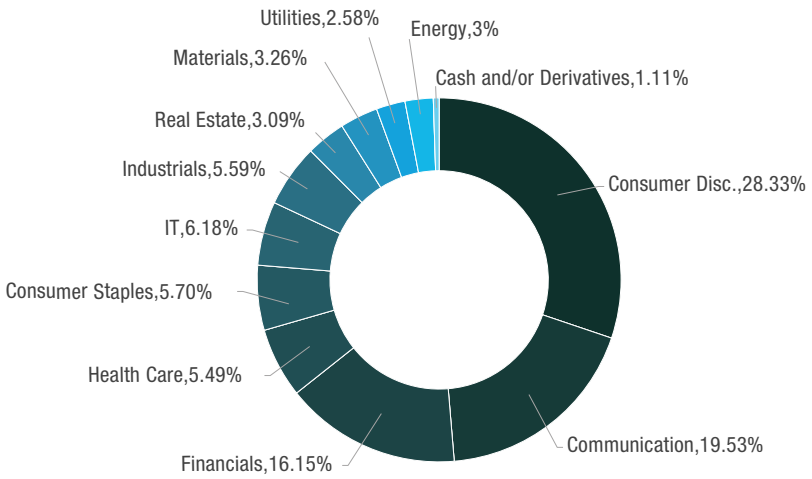
Product Factsheet

Investment Opportunity

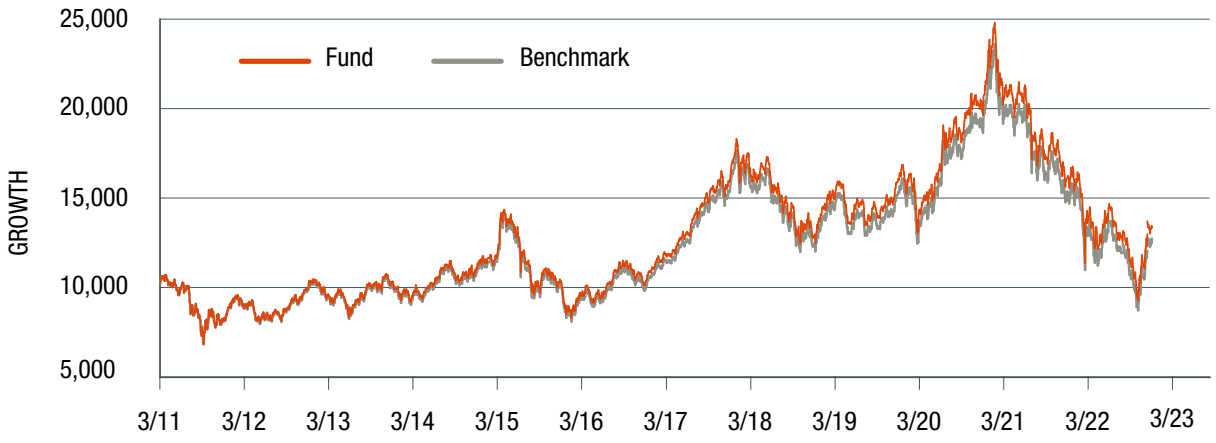
MSCI China ETF

Top Sectors

as at 30st June 2023

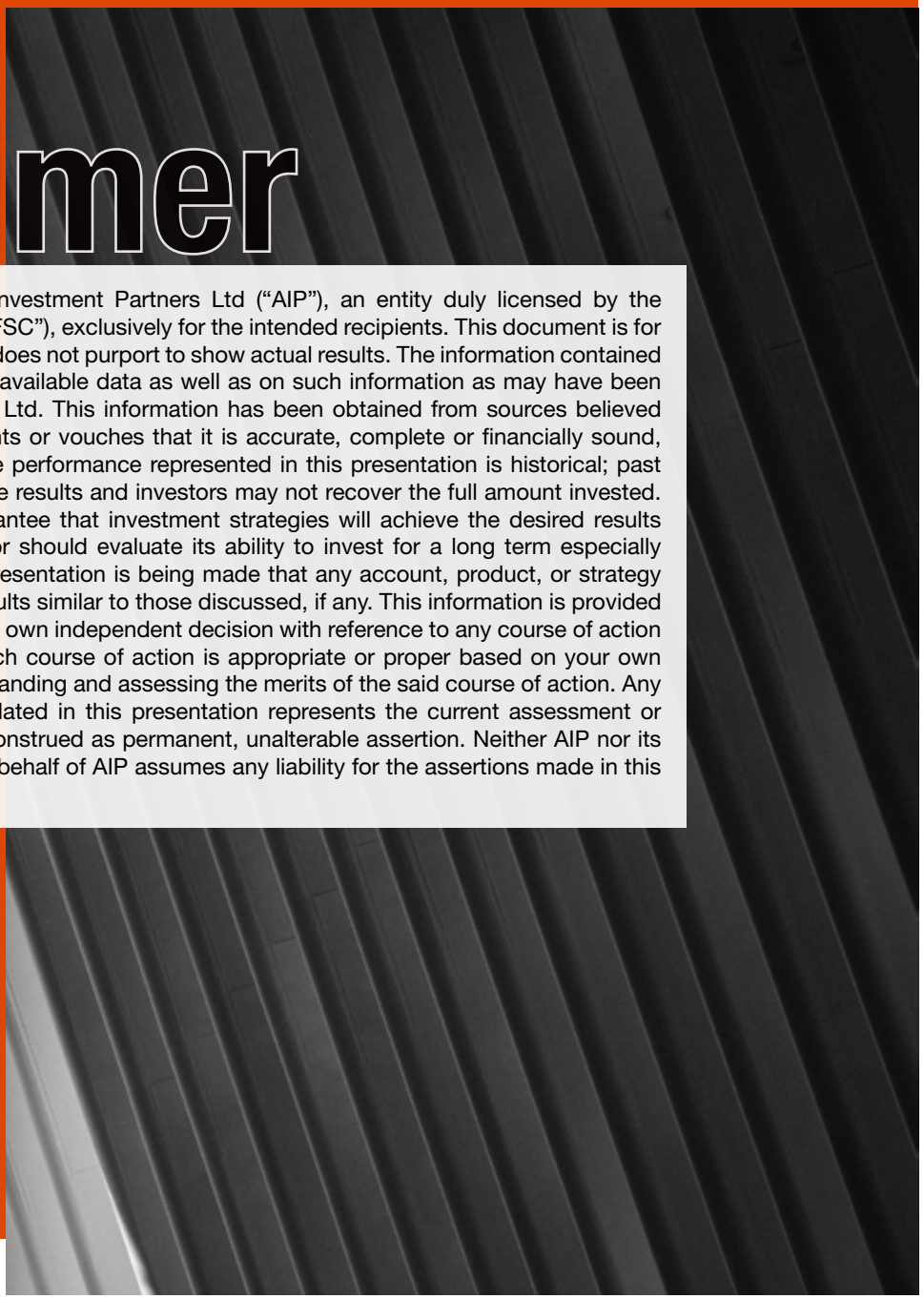


GROWTH OF USD 10,000 SINCE INCEPTION



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